BUNDLING AND UNBUNDLING BUSINESS MODELS



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SUPER GUIDE:

BUNDLING AND UNBUNDLING BUSINESS MODELS

BY DANIEL PEREIRA



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INTRODUCTION

The maximization of a company's profitability is always its primary focus. Every business strives to increase the number of goods and services it sells to its existing consumers. However, your company is not the only one competing in the area that you have chosen. There are many companies that provide the same or comparable goods and services. To differentiate yourself from the crowd, you need to devise a plan that will provide your company an advantage over similar endeavors in the market.

This is matched by the recent rise in the speed at which businesses are seeking to make changes in their business models in order to ensure that they maintain their relevance and viability in a market that is already saturated with intense competition.

In the last several years, when it comes to bundling products, business bundling, or even simply the notion of business bundling itself, has continued to gain a substantial amount of popularity.
This is mostly attributable to the fact that it has a propensity to present customers with options that may aid them in creating more value for the purchase, as a consequence of the product bundling deals that are made accessible to them.

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WHAT IS PRODUCT BUNDLING?

The commercial practice of combining many items into a single offering that is then sold for a higher price, or most times, at a discounted price as a "bundle" is referred to as "product bundling". Some examples of bundles are cable packages that contain both television and internet service, as well as meal packages at fast food restaurants that include a burger, fries, and a beverage all in one convenient package.

When a business offers a collection of similar items at a reduced price, it encourages consumers to buy more than they otherwise would have. This method may result in a rise in sales of products that are related. Even if it results in a reduced profit per unit, there is an increase in total income as a result of higher inventory movement.

THE PSYCHOLOGY OF PRODUCT BUNDLING & SALES

A company is said to engage in mixed product bundling when it mixes popular goods that are typically sold individually into a boxed set and then offers a discount for purchasing the set as a whole. Customers have the option of purchasing one or two goods separately, or they may choose to purchase many products all at once in a bundled sale.

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Vineet Kumar of Harvard Business School conducted research in which he came to the conclusion that when Nintendo employed mixed bundling as a marketing strategy for video game units, sales of these units jumped by 100,000 (video game sales also rose by more than a million).

In contrast, when Nintendo tried out an experiment with "pure bundling", in which customers were obliged to buy the bundled package and nothing else, the company's sales decreased by 20%. In addition, Nintendo saw a decrease in sales of video game consoles as well as a decline in sales of the games.

In light of these statistics, it is abundantly evident that the key to successful product bundling is to either discover the ideal combination of products for your package or engage in mixed bundling. However, you must first have an understanding of how customers perceive the value of your products and services before you can identify the optimal combination.

WHICH PRODUCTS CAN BE BUNDLED?

When determining which of your goods to include in a bundle, the most effective strategy is to include things that are complementary to one another or that can be used in combination with one another. This was the situation with the systems and game bundles offered by Nintendo. Your product bundles should be reasonable; for instance, if you're selling computers, it would be a good idea to throw in some freebies with the purchase of a computer, such as USB cables or screen cleaners.

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One further helpful piece of advice is to inquire about the needs of the target market directly from them. This is particularly significant in the realm of online retail, where selling bundled products may help you stand out from your rivals.

Utilizing customer data in conjunction with product performance indicators enables one to ascertain the kind of products that a certain individual buys. In addition to this, you are able to maintain a record of the many goods that the client buys on a regular basis in order to figure out which products should be cross-sold with one another.

If you are able to effectively sell a bottle of shampoo and a hair salon treatment to the same client, it shows that you can successfully bundle the two goods together. Choosing a tool that combines full-suite eCommerce analytics will offer you deeper insights and allow you to monitor the overall effectiveness of your A/B testing. This will allow you to get the most out of the data you collect.

EXAMPLES OF PRODUCT BUNDLING

The most successful e-commerce firms are already reaping the benefits of product bundling. You can get some insight from the following instances:

Microsoft Windows on PCs
Because Microsoft was able to establish such a powerful distribution network as it rose to prominence in the technology industry throughout the personal computer (PC) era, the company was able to keep customers invested in the PC market for decades. Microsoft pre-installed its Windows operating system on computers before the customers bought them. As a result, manufacturers were encouraged to promote Microsoft's goods.

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Google Chrome on Android Devices

Android has been one of Google's most productive investments, as it has assisted the company in maintaining its position as the industry leader in the mobile phone era. On Android-based devices, some Google products, such as Google Chrome, are pre-installed by default. Because of this, Google is able to retain a competitive advantage in the core business model that it utilizes.

HelloFresh

HelloFresh provides customers with all of the necessary ingredients to cook a wholesome dinner in the comfort of their own homes. Despite the fact that it doesn't give the idea that it's a pure bundle, their method is an example of a successful pure bundle technique. HelloFresh is well-known for putting together packages of ingredients that can be used to make whole meals, which makes it a highly enticing choice for anybody who is focused on maintaining a healthy lifestyle.

Naturebox

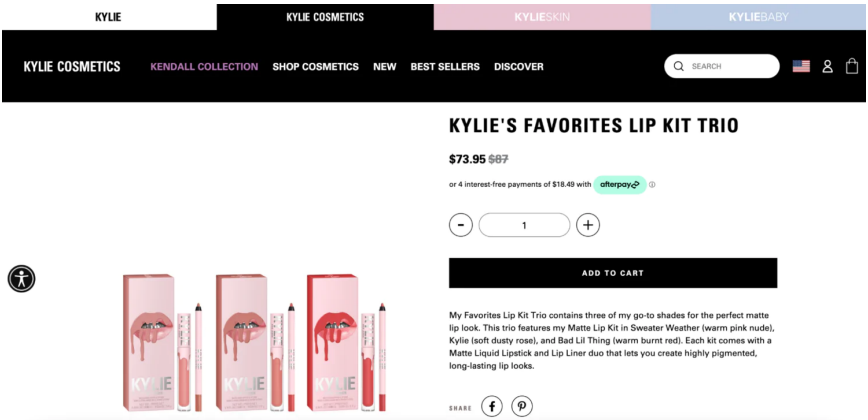
Naturebox, an online retailer of nutritious snacks, utilizes product bundling. They often include a variety of snacks in a single box in order to provide better value for the money spent by their clients. Naturebox bundles are an excellent method to promote healthy snacking, and if you're someone who's passionate about eating healthy foods, they offer an appealing service.

Kylie Cosmetics

Kylie Cosmetics was able to develop an enterprise with the assistance of a product bundle known as lip kits. Lip kits include lipstick and lip liner in a single package. The pinnacle of the company's meteoric climb from a popular social media account to Shopify's mega-success story was a buyout of the brand for $600 million. When it comes to selling their

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products, Kylie Cosmetics focuses on bundles. They have a section on their website just for showing the season's best-selling bundles.



Harry's

Most people are familiar with Harry's because of its subscription service. However, the company also runs an online store, and a significant component of what they sell is bundled products sold together at a discounted price.

The success of your bundle will be determined by how well you demonstrate how the many products included inside complement one another. Harry's touts their Skincare Essentials Set as a unified package that contains "three must-haves", as opposed to a random assortment of three separate items packaged together. In spite of the fact that Harry's sells each product on its own, the marketing phrase used by the firm provides the idea that you just cannot afford to buy just one of them without also purchasing the other two.

Bloom & Wild

In preparation for Valentine's Day, the flower delivery service urges customers to also purchase a luxurious box of

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chocolates in addition to their flower order.

With this example, you can see how a seasonal bundle may be a great way to promote a product or service.

Anastasia Beverly Hills

You have access to a diverse range of creative strategies that you might use in order to advertise the value of your offerings. A number of them are utilized by Anastasia Beverly Hills in the advertising of their Flawlessly Ever After package for Valentine's Day.

Take a look at the following case study as an example of how effective seasonal bundles can be in the context of product and service marketing. Anastasia lists its products in such a way that each product has its own review score and price, which helps to give the general impression that everything is of high quality and worth purchasing. On the product page, Anastasia includes the cost of the bundle next to the heading that reads "full price". Because of this, customers are led to feel that they are receiving a terrific deal here, rather than being led to believe that they are acquiring a lot of items that Anastasia is attempting to get rid of.

ASOS

ASOS is an excellent illustration of pure bundling, in which the goods are not available separately from the same retailer. They sell cameras and camera accessories. As a bundled product, the camera kit from ASOS makes sense. When one thinks about photography equipment, ASOS is not the first name that comes to mind. The photography retailer does not want to have an excessive amount of gear on hand, since doing so would require costly storage space. As a result, it sells them all together.

Sweaty Betty

After a customer has placed an item in their shopping cart, it

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is normal practice for companies to introduce the idea of product bundling to that customer by recommending other products that go well together with other products in the customer's cart.

The yoga company Sweaty Betty is an outlier when it comes to its methods. Product bundles are given their own category page on the website. You'll notice a slew of extra text explaining the bundling process when you browse through the different goods on that page. That's a clever strategy, since customers are already sold on the notion of buying anything else when they find a product they enjoy. A greater order value and more items per transaction are the results of this.

H&M

In a mixed package, H&M offers two of its most popular relaxed-fit sweatshirts. Individually, these sweaters cost £9.99, so we're not talking about expensive items. By offering these products together, one might think they are losing their already low-profit margin. However, because the two are now sold in a bundle, shipping costs can be saved, making the bundle beneficial to H&M. Additionally, selling in bundles helps them reduce the item in inventory, thus helping them save on inventory costs.

Murad

Murad sells its bundles by emphasizing cost savings. They achieve this by mentioning severally the total costs of the items in their inventory and the amount customers can save by buying the bundle. This can be seen in their "3-Step Glow Bundle" marketing text, which severally mentions a cost savings of $37.

Paperchase

Because Paperchase is a stationery retailer, they advertise bundles with BOGO (buy one, get one). This helps them

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increase their average order value. This tactic is beneficial since customers usually buy stationery packs months apart. However, by offering them in a bundle, Paperchase can save on inventory costs.

PRODUCT BUNDLING + SAAS = A GREAT COMBINATION OR A PRICING FAILURE?

If you have more than one product, would it be reasonable to incorporate the product bundling strategy with the software as a service (SaaS) business model?

Absolutely, it is a terrific way to boost your average order value, minimize your customer acquisition cost (CAC), and generate revenue if you have the capacity to acquire several purchases from a single consumer who may otherwise have only bought one. You may leverage the approach to package your free offering with your paid recognized offerings. Cross-selling in this manner may also be an effective method for presenting a new product to clients and encouraging them to take a risk in purchasing it.

When looking at the data for multiple product approaches, it was shown that businesses with many products exhibit much greater growth above $100 million compared to businesses that only sell one product. On the other hand, businesses that only sold one product discovered that it was only easier to reach the $10 million threshold. The amount of time it takes for management to properly launch and maintain goods is most likely what makes the difference in the early stages of a company's existence. If you do not currently have a multiple-product firm, you should keep that in mind as

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something to consider.

EXAMPLES OF SAAS PRODUCT BUNDLING

Let's take a look at a few SaaS companies that have done a good job of bundling their products together and incorporating this strategy into their business plan.

Amazon: Prime + Video
Subscribers to the Amazon Prime program are eligible for a variety of perks, including price reductions on best-selling products and free delivery within two business days on almost anything Amazon has in stock. They coupled their video streaming service with Prime in order to make both of the services more appealing to customers.

Hotjar: Screen recording + heatmaps + more
Understanding the challenges faced by users is critical for the success of any company; Hotjar provides a variety of one-of-a-kind solutions to assist in this endeavor. They can show you replays of a visitor's online experience, heatmaps that indicate which portions of the site are most regularly utilized, and a wide variety of additional tools that help assess conversion funnels and gather feedback from site visitors. For customer convenience, many of these many instruments are collected into a single comprehensive package.

Adobe: Creative Cloud
Consumers have access to Adobe's extensive library of software products, which includes some of the most well-known and widely used tools in their respective fields, such as Photoshop, Illustrator, and After Effects, to mention

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just a few. Customers have the option of paying for any of these on an individual basis, or they may enjoy cost savings by subscribing to all of them through Adobe's Creative Cloud service.

Box: storage + enterprise app integrations
Box is a cloud-based storage and backup service that can be accessed over the web. Customers with free accounts have access to a limited amount of storage space; however, customers may purchase more storage space, which comes with the corporate app integration add-on that Box offers for an additional charge. Because of this, customers get an even greater amount of value from the service that they purchase.

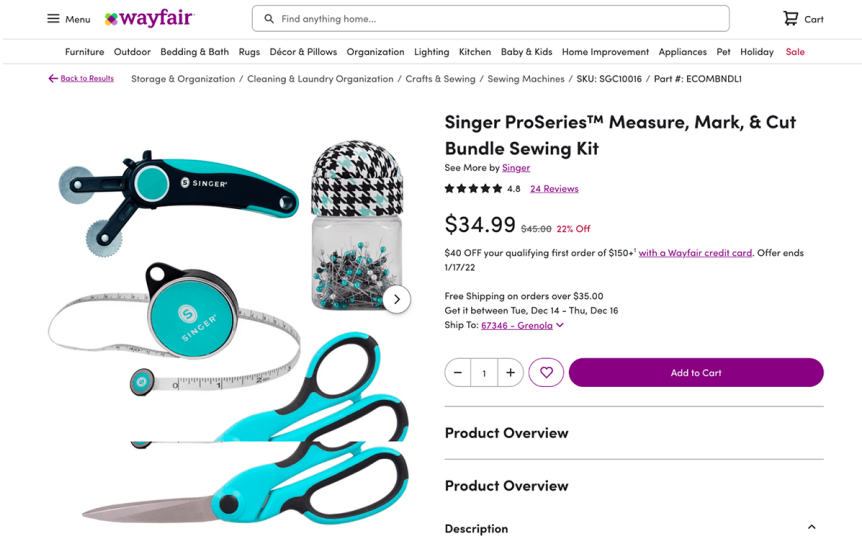
HubSpot: Growth Suite
HubSpot, the company that introduced the concept of inbound marketing, has broadened the scope of its products and services to include, in addition to its revolutionary customer relationship management (CRM) system, machine-learning-powered tools that can assist with virtually every facet of business operations. HubSpot offers a package called the Growth Suite that combines all of these different products and, if you decide to buy it, can end up saving you money.

TYPES OF PRODUCT BUNDLES

We will discuss eight different types of product bundling so that you can understand the opportunities that are presented by these sorts of bundles.

Pure bundles

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When using pure bundling, there is no opportunity to purchase individual items separately from the bundle. The customer's choices are limited by this strategy. One of the companies that have achieved success via the approach of pure bundling is HelloFresh. It includes all of the ingredients required to produce a wholesome meal for its customers. You can modify your menu based on the number of people and recipes you need each week, but you can't purchase the individual ingredients that go into those menu options.

New product bundles

In order to assist shoppers to find your newest product, this marketing strategy pairs newly-launched items with already-popular ones. Ecommerce shops utilize this strategy to create awareness for new items by bundling them with their more well-known offerings. When an old product is well-received, the customer is more likely to try out the new one. For instance: Switch + Legends of Zelda is a popular Nintendo combo that brings together some of the company's newest releases with some of the company's best-selling older titles. Two new games

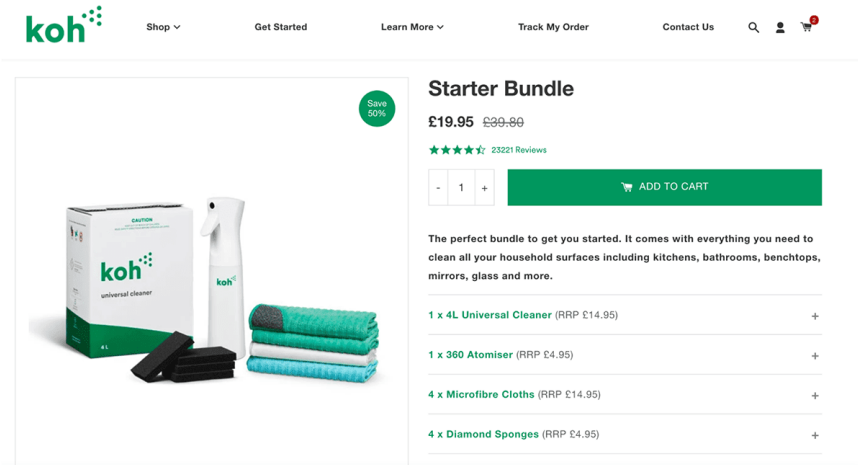
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(Breath of the Wild and Super Mario Kart) are included in this bundle, as well as a Zelda carrying case that is exclusive to this package.

Mix-and-match bundles

The customer is given the chance to choose from a selection of things that are comparable via the use of the mix-and-match bundling approach. This approach by brick-and-mortar stores is ideally suited to meet the needs of customers for consumer products such as perishables and bulk items.

Customers have the option of selecting from a certain number of items, after which they might be given the freedom to create their own one-of-a-kind product packages depending on their choices. This strategy provides the customer a feeling of agency over the purchase they are making, which in turn contributes to a rise in the perceived value of the goods. Your customers will be persuaded to make larger purchases, but they won't be coerced into purchasing items that they have no interest in possessing. An example of this can be seen in sales where you can get a pair of complementary items, such as a shirt and a trouser, for a certain sum of money.



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Cross-sell bundles

Retailers use this bundling approach to offer a secondary item in addition to the primary one. This kind of arrangement is well suited for the practice of packaging inexpensive items, accessories, or components along with a more expensive main item. For instance, if you buy an iPhone, you will almost certainly also buy a case for it. As a result, both the iPhone and the cover may be offered as a package.

Gifting bundles

This type of bundling provides customers with assistance in picking gifts for their family and friends. This is due to the fact that the overall value of a gift is inversely related to the number of separate items that make up a set. People are especially interested in acquiring products that are of great quality and can be used in a variety of contexts when they are out searching for presents during the holiday season. As an example, a hair straightener may be sold in combination with heat protectant hair sprays in certain retail establishments.

Shoppers who want to present a loved one with a collection of items that are designed to work well together may take advantage of gift bundles. The Christmas shopping season is by far the busiest time of year for sales of bundles like this. For instance, the renowned cosmetic company, The Estée Lauder Company, has a popular gift box called protect-and-hydrate that contains four different skincare products that complement one another.

Inventory clearance bundles

You may decrease the quantity of space used up in your inventory as well as the costs involved with preserving that space by adopting this type of bundling. The inventory's faster-moving item is coupled with a stationary or slower-moving item. This technique involves providing clients with discounts on bundled items in order to make customers who are interested in a bestseller feel as

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though the whole bundle is a good value and encourage them to make a purchase. For example, the well-known niche tea retailer T-WE realized that their tea accessories were selling faster than their tea. As a result, they started to package their teas with accessories so that they seemed to be a better overall value.

Buy-one-get-one bundles

Thanks to this method of bundling, when customers purchase one of your primary products, they become eligible to get a discount on another product that is complementary to it, or they may even receive a free product altogether. This strategy is most effective when used on goods with a single purchase. For instance, after a client has purchased an electrical device, such as a hair dryer, they are unlikely to return to the store to purchase the same item again. Therefore, providing consumers with a free product, a discount, or a gift card will motivate them to add additional goods to their carts at a reduced price.

MIXED BUNDLING VS. PURE BUNDLING

Mixed bundling is a kind of bundling in which many products are sold together in a single bundle at a price that is cheaper than the combined price of the individual products. This type of bundling is often offered to customers as an alternative to purchasing individual products.

On the other hand, when a customer purchases a pure bundle, they do not have the option to buy individual products. A product or service that is bundled with a number of others products or services is only available for purchase as part of a package or not at all. Some examples of this include the Office 365 software that

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is provided by Microsoft and the various television channel plans that are made available by cable companies. Customers of cable providers, who often offer their services in bundles, do not have the ability to choose and select the individual channels for which they want to pay.

WHEN BUNDLING PRODUCTS DOESN'T WORK

Although it is easy to see how bundling may be beneficial to a company's bottom line, it is not so clear how to put together a successful plan using bundling. The "presenter's paradox" is a good example of the potential consequences of making a mistake.

Categorical reasoning

The natural tendency of people is to categorize items as either costly or cheap, and this classification has an impact on how they evaluate products. People will have a reduced willingness to pay for a product because they will perceive it to be less costly/valuable if it has a pricey item in addition to a cheap item that is bundled together.

The study that Alexander Chernev has done on categorical thinking has revealed some valuable information:

- The impact of value subtraction will not be produced by just placing the items next to one another. Only when both of those things are regarded to be part of a single bundle does that impact take place;
- This effect is not produced by variations in the consumer perception of the quality of the bundled goods and may

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occur even when both things are of identical quality, such as in the case of a combination of a Porsche with a Montblanc pen.

If a bundle fosters categorical thinking along the lines of cheap and expensive, then your product will, in the long term, suffer the consequences.

However, categorical reasoning is applicable to more than simply the cost. Estimates of the overall caloric content of a cheeseburger are brought down by the addition of a salad, despite the fact that more food could only bring about an increase in calories. The non-numerical sense of nourishment is averaged out between the two items when using categorical reasoning.

The presenter's paradox and the categorical reasoning that drives it has been the subject of research, and this research has confirmed the paradox's impact, although in a weakened form. The findings give credence to the hypothesis that the impact is dependent on context and is most likely affected by the value differential that exists between the presented items and the manner in which they are presented.

The presenter’s paradox

In the experimental research conducted in 2012, the "presenters" were given two options for what to provide to made-up customers:

1. Apple's iPod Touch with a protective case;
2. An Apple iPod Touch with a protective case and a free music download included.

The inclusion of a free music download should make the bundle more valuable, right? 92% of the presenters shared that opinion, yet they were incorrect. According to the responses, the

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participants would be willing to pay a greater price for an iPod Touch even if it did not come with a free music download.

This is because we unconsciously calculate the value of the bundle components by averaging their individual values rather than by adding them together.

Similar to how adding warm water to hot water reduces the total temperature, efforts to secure an agreement by adding more features to a good proposal might reduce the proposal's overall appeal. Each additional feature or piece of information that is added to the product diminishes its overall worth.

In a different scenario, potential consumers were more interested in purchasing an expensive home gym that did not come with a bonus training DVD. Unexpectedly, respondents were willing to pay $225 for one piece of baggage and $54 for another when the goods were purchased separately, but they were only willing to spend $165 when they were bundled together.



Beware of cognitive load

The amount of mental effort required to accomplish a job is referred to as its cognitive load. A high cognitive load may result in analysis paralysis, which makes it more difficult for customers to

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make choices. Even if the goal is to make life easier for the customer, complex bundles may increase the amount of mental work required.

For example, a user would be better off selecting a single streaming service that delivers all of the content packaged together, as opposed to picking and choosing which of the 56 sub-genres of music they wish to pay for.

CHOOSE A PLAN THAT'S RIGHT FOR YOU

Downgrade o upgrade at any time

	Basic	Standard	Premium
Monthly price after free month ends on 11/29/18	$7.99	$10.99	$13.99
HD available	x	✓	✓
Utra HD available	x	x	✓
Screens you can watch on at the same time	1	2	4

The concept of symbiosis, or the process of designing a product bundling model that is beneficial to both customers and sellers, is essential to the success of bundles.

WHY IS PRODUCT BUNDLING IMPORTANT?

Bundling items is a strategy that e-commerce companies may employ to address a wide variety of business challenges, including maintaining their market share, reputation, and client base; getting rid of obsolete inventory; reducing costs, and capitalizing on

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seasonality. However, the steps involved in this procedure seem to be more simple in writing than they really are.

For instance, eCommerce firms that sell their products via online stores such as Shopify, Shopware, or WooCommerce have an internal system that makes it simple to add new SKUs. For fulfillment firms, who must wait until they have received pick-and-pack orders before going further, this is, of course, absolutely pointless.

Your third-party logistics partners also need to know what items will be included in your suggested bundles, in addition to having complete information on what products will be sent to clients who place orders. Larger or more complex packages are inherently more difficult, which increases the risk of lost goods, confusing return processes, and dissatisfied consumers. Selecting an ERP system can help you simplify the whole process, which will allow you to engage in bundling with more ease.

Let's take a more in-depth look at some of the other factors that contribute to the significance of product bundling to today's businesses:

Improve Brand Reputation

Product bundling may help a business solidify its image by demonstrating to customers that it cares about the customers' lives, values, and financial constraints. By making popular bundles available to customers, a company will become more engaging to interact with and more approachable to prospective new clients. Reap the benefits of increased productivity brought on by the development of more goods via the use of a wider variety of supplies currently in stock. Keep in mind that even a small adjustment in price may have a significant impact on how customers feel about a certain brand.

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Retain Customers

If you provide your clients with the option to save money, there's a possibility that they'll have a more positive impression of your company. In addition, consumers will see the value in making repeat purchases from your company. Also, when you sell things in bundles, not only do you save customers time and money, but you also cut down on the number of decisions that need to be made during the shopping process.

Save Costs on Marketing and Shipping

If a company sells its lesser-known or less popular items alongside its more well-known and more popular ones, products have a better chance of selling more rapidly. Most of the time, new goods do not even need any form of marketing or advertising on the part of the company, either internally or externally. Because of this, you will have to spend less money on costly marketing initiatives, and you will also see a drop in the number of shipments that are made via third-party logistics providers.

Repurpose older or less popular products

Bundling products might help you get the most out of slow-moving or out-of-date stock. Products that aren't as popular or that aren't now in the season could be packaged with other items that are more popular and marketed as a set instead of being sold individually. Even when their items aren't selling very well, online retailers may continue to produce revenue with the help of these strategies.

Take Advantage of Seasonality

The holidays, summer and winter seasons, and other special occasions could help boost sales of bundles. Because of the feeling of exclusivity, consumers are more inclined to make an urgent purchase, and as a result, they wind up having a greater quantity of things that they may give as gifts. For this reason, the busiest times of the year, such as Christmas, New Year, and

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Valentine's Day, are the best for bundling. You may want to consider bundling items that work well together, such as accessories, sets, or commodities that are a perfect fit.

Benefits of Bundling Products for Customers
The practice of product bundling benefits consumers as well as companies. Customers could benefit from easy decision-making, higher cost savings, and decreased instances of buyer's remorse. The following is some in-depth analysis of the perks that customers receive:

Better Customer Experience

When consumers purchase bundles, they often enjoy greater cost savings. Customers have the opportunity to get familiar with new goods and services when they purchase bundled items. Also, they are far more likely to provide positive feedback to businesses when those businesses are easily accessible and convenient to use — achieved via bundling.

Consider the steps that a customer must go through in order to buy a cream that is used for cosmetics. Many customers find it difficult to choose a color or style from the many available options, and as a result, they prefer to buy bundles that have a greater number of options. Therefore, bundles with cheaper prices have a greater potential for sales, a higher chance of receiving a positive response from consumers, and the ability to provide an improved experience for end users.

Simpler Decision-Making

By optimizing the buying experience and reducing the number of things involved, bundles make the purchasing process more efficient. eCommerce businesses can also save money by reducing the number of product options available to customers.

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This would result in a lower percentage of customer returns; in essence, having more choices results in more customers sending items back. In addition, they help customers feel better about the products they have purchased by enhancing customer satisfaction and lowering the incidence of buyer's remorse.

Cost Savings

One of the most significant advantages of buying bundles is, of course, the price reduction that is made available to customers. Customers who are undecided about purchasing bundles primarily depend on reference pricing to assist them in making an educated purchase decision as they navigate the purchasing process. If consumers do not have the impression that a product is worth the money they are spending, they will not purchase it.

Confidence in Decision-Making

If a customer believes that the product bundle they are acquiring will provide them with value, they are more likely to be pleased with their final decision. According to the findings of one research, customers who were satisfied with their purchase had a 2.6 times greater propensity to make another purchase from the same business.

DISADVANTAGES OF PRODUCT BUNDLING

Even though there are many positive aspects to product bundling, there are also some negative aspects. It's possible that some clients may only be interested in purchasing bundles, while others may opt to ignore your more well-known products because of the "stained" reputation that they have. Putting together a meaningful bundle may not be achievable in some circumstances.

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Customers Might Only Go for Bundles

There is a possibility that customers will be less interested in purchasing individual items due to the high perceived value of product bundles. In some circumstances, this could prove a problem for businesses that focus on selling one product or just a few products.

Not All Products Can Be Bundled

A certain strategy is required if one is selecting goods to include in bundles. Customers will often do the math and quickly uncover any variations in the cost as soon as they can. They could choose not to take advantage of the bundle because it does not provide significant cost savings or because it does not provide a suitable offer.

Bundling Can Taint Your Popular Products

If a customer sees that a bundle includes both a product that is already well-liked and one that is not interesting to them, they may be less likely to purchase the bundle. If, on the other hand, the product is more helpful when purchased as part of a larger bundle, however, buyers could even stop buying the individual product.

WHY IS BUNDLING A CONSUMER-FRIENDLY PRACTICE?

Deals that come in bundles almost always benefit the customers. Even while the majority of consumers, particularly those under the age of 30, find it difficult to take advantage of these bundle offers, they will do so when it is absolutely necessary.

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For instance, when it comes to vehicle insurance, many new drivers will buy their policy through the insurance brokerage that their parents use, and it will be some time before they switch. They feel the need to transfer to a more local agency after some time has passed, often after they have purchased and moved into a new residence.

Many consumers have been affected as a result of this practice, despite the fact that many insurance companies have a number of incentives for offering policies to each and every client. Why? Because it takes six times as much money to attract new customers as it does to maintain the satisfaction of the ones you already have. As a result, insurance companies are making a greater effort to get customers who already have policies with them to buy additional policies, including coverage for their homes and cars.

5 METRICS TO HELP YOU CHOOSE WHICH PRODUCTS TO BUNDLE

The collection of as much information as possible is the first stage in the process of developing product bundles that are favorable to customers. The use of buyer persona templates is a smart place to begin, but conducting in-depth analytics is the most effective method for gaining better insight into your customers.

The following are the five most important product metrics that you should monitor in order to remain one step ahead of the competition.

Top & worst sellers

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If you want to blend your best-selling items with your least popular ones, you should begin by keeping track of the sales of your most profitable commodities and SKUs. After looking at this data, you will have a clearer understanding of which products should be the basis for your bundles.

Find items that go well together but aren't moving as much as others, and see if you can move more inventory by selling them with something that goes well with them. When you pair things that are similar to one another, you may find that you can get rid of a lot of dead stock. This enables you to reevaluate your purchase decisions and cut down on the cost of inventory.

In addition, one strategy for boosting sales is to combine new products with those from your current inventory that have been shown to be well received by customers.

Annual growth

The growth of a product from one year to the next reveals how much its value has risen. When this statistic is combined with the inventory that you currently have, it is possible to examine how each item has changed from one year to the next. After analyzing the product's sales history over this time period, you will be able to determine whether it is a suitable candidate for inclusion in a bundle or not. For instance, if you see that the sales of a product are going down, you might assume that it would be a good idea to bundle it with other products in order to boost its sales.

SKU profitability

You need to monitor this metric in order to get an accurate picture of how one item in your inventory stacks up to the others.

SKU profitability may help you subtract your overhead expenditures and gain a better sense of the underlying profitability of single products in your inventory. You will be able to spot any

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weaknesses in your selling approach and make modifications by studying the data from your sales, in order to do so before your profit margins start to decrease significantly. It is possible that one of these modifications will be to revamp or update your bundled goods in order to raise sales and improve satisfaction levels among customers.

Listing profitability

Listing profitability is an analysis that provides specific information on the profitability of a certain product across all sales channels. This data may be used to decide which distribution channels will be used to offer bundled items. This implies you may use the listing profitability as a reference to help you make multichannel sales choices. When reconsidering your product bundling strategy, don't overlook the importance of this measure in finding areas where you have the potential to boost consumer engagement and conversion rates.

Trending profitability

While brainstorming different bundles, keep in mind when you'd like to make these bundles available. You can tell whether certain things are in greater or lower demand by identifying trends and product synergy over a period of time. This enables you to correctly bundle the products based on the demand level. For instance, it's a smart idea to bundle things together during the holiday season, since it gives customers more options that are both convenient and useful.

Alongside that, book dealers have a tendency to gather together reading material that is similar because they feel their customers would be interested in purchasing other popular things that fall under the same category. For those who are just getting started in the world of product bundling, this is an excellent place to begin.

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THE BUNDLING BUSINESS MODEL

The Product Bundling Business Model is a strategy that can be summed up as follows: businesses put together a particular number of items, and then provide those products to their consumers at a reduced price.

This not only helps companies generate more revenue, but also encourages customers to make purchases that are more economical by purchasing many things in a single transaction rather than making multiple purchases.

In this kind of business model, the client receives an incentive for making purchases that are of a higher value, and the value of the transaction is divided between the consumer and the producer.

Digitization and the ease with which different things may be readily grouped together have led to an increase in the number of businesses that rely on bundled solutions. This has led to an increase in the bundling of products.

HOW DOES BUNDLING BUSINESS MODEL WORK?

First, identify products or services that can be grouped together and that are complementary to one another. For

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instance, you might offer tea, bacon, and toast as a bundle, or a vacation and a place to stay. The goal is to provide the goods and services that people want at rates that are affordable.

When it comes to bundling, businesses have the choice to pick from a number of different solutions, depending on the particular goals they want to achieve. You may bundle your products in a number of different ways, ranging from pure to mixed to cross-selling to mix and match, as well as other options.

When it comes to pure bundles, you can only buy the products together; the firm does not offer any of the individual products included in the bundle on their own. A mixed bundle is a combination of different products that are offered together at a price that is lower than the combined price of the individual products. Consumers have the option of purchasing the items individually; however, doing so will result in a higher overall cost. The third alternative is mix-and-match. Under this type of bundling, customers may create their own personalized bundles by selecting individual products from a catalog of available options.

Cross-selling is another type of bundling and is the practice of bundling extra things together as add-ons to the core offering. Another form of bundling is gifting bundles, which often consist of a number of different items and are presented to friends or family members as a sign of gratitude or love.

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EXAMPLES OF BUNDLING BUSINESS MODEL

It doesn't matter what kind of business it is or what products are being marketed for sale; the general appeal and popularity of the following product bundling strategies is the one factor that remains consistent across all of them. They might be simple and straightforward, or they could be quite intricate and advanced.

Netflix: Bundle as Business Model

Because linear time is no longer a constraint, the value chain of television programming has been able to be reorganized, as seen by the service provided by Netflix. This basically means that consumers are free to watch the programs whenever they like, even if they aren’t being aired by any TV station at the moment.

Netflix brings in revenue via the sale of bundled subscription packages. Putting this strategy into effect is, without a doubt, going to be a lot more challenging. Evergreen content, for instance, is prioritized by Netflix since it increases the streaming service's appeal to potential new members by regularly releasing fresh content while the old ones remain interesting and watchable after many years. This, as a result, brings down the cost of gaining new subscribers. Netflix also places a high value on both the quality and quantity of their content, since the company is aware that customers will sometimes be satisfied with watching anything at all.

In essence:

- Netflix bundles a wide variety of shows to make their offering appealing;

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- The sale of subscriptions to their bundle is the core of Netflix's business strategy.

Disney+: Bundle as CRM

In some ways, Disney+ seems to be similar to Netflix as a subscription service: You get access to a wide variety of entertainment options in exchange for a fee that is paid on a recurring monthly or yearly basis. Nevertheless, the differences become visible soon enough:

- Netflix offers both its own original material as well as programming from other networks, whereas Disney+ exclusively includes content produced by Disney and 21st Century Fox, which is owned by Disney;

- There is no guarantee that everything will be available on Disney+ under its subscription fee; for instance, Mulan was made available on Disney+ in 2020 for an additional one-time fee of $29.99;

- The monthly cost of Disney+ is just $6.99, compared to Netflix's monthly fee of $12.99.

Because it acts as a touchpoint between the Disney brand and its individual customers, Disney+ is in a class of its own when compared to other streaming services; it was not built with the sole aim of generating subscription revenue.

Amazon: Bundle as Churn Management

The Amazon Prime subscription includes access to a wide variety of services, such as Amazon Prime Video, their photo storage service, their clothing service, a video game service, etc. On Amazon Prime's benefits page, you'll find a total of 28 of them listed. Even while Amazon may send you a notification about book perks when you buy an e-book, a reminder about Amazon Music when you set up an Echo, or a reminder about Prime Video once you check out, the majority of customers don't become aware of these benefits until after

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they have subscribed to Prime. The most helpful effect of this is that it provides you with more incentive to avoid churning.

When you consider the fact that the business model behind the Amazon Prime bundle places less of an emphasis on growing the quantity of membership revenue and more of an emphasis on boosting the amount of traffic that reaches Amazon.com, this becomes reasonable. In 2015, it was reported that Amazon Prime members spend an average of $1,500 annually on the website, whereas non-Prime members spend just $625.

In essence, retaining Amazon Prime members is more beneficial to Amazon in terms of revenue. Because of this, there is never-ending pressure to introduce an increasing number of new features.

Microsoft: Bundle as Market Expansion

The competition between the PlayStation 5 and Xbox One Series X and Series S will be one of the most fascinating topics to follow over the next several years.

Traditional console models have relied on a business strategy known as the "razor and blades business model", which entails making an effort to avoid losing money on the consoles themselves (little to no profit margin) while compensating for that loss by licensing games, offering an online platform, and trying to sell in-game products. Sony uses this model, and the games of its current console generation are expected to cost at least $70, with supplemental content that may or may not be necessary for the core gaming experience. Despite the fact that it may be an expensive one, gamers are used to this price structure.

Microsoft, on the other hand, adopts a subscription-based model. In addition to providing access to more than 100 games and all of the pretty standard online services, the Xbox

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Game Pass allows subscribers to purchase an Xbox Series S console for an additional $10 per month (or a more powerful Xbox Series X console for an additional $20 per month). When one considers the subscription-based business model used by Microsoft, it is reasonable to consider the console to be the product that is included in the bundle.

Exciting times are ahead for the gaming industry as a result of the strategy that Microsoft has implemented, which has the potential to increase overall market profitability.

Apple: Bundle as Money-Maker

Late in the year 2020, Apple began offering its Apple One subscription service, which includes Apple Music, Apple TV+, Apple Arcade, and storage space in iCloud. The service is subdivided into three different plans: an individual plan, a family plan, and an Apple Premier plan, which includes Apple News+ and Apple Fitness+ in addition to the other services.

Some of the strategies for bundling that have been described above are applicable to Apple One, while others are not as applicable:

- Even while Apple's primary business strategy is still making a profit off of the sale of hardware, the company's long-term goal is to increase earnings from its services;
- Even though the overall Apple experience is enhanced by iCloud Storage, the company does not truly need any additional aid in order to engage with its customers;
- Apple exclusively offers services such as Apple Arcade, Apple News+, and Apple Fitness+, all of which have the potential to reduce customer churn, even though Apple's overall churn rate is already low.

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A company's primary business plan has to be one that a bundle can be incorporated into and contribute to in order for it to be appealing to customers. It is tough to understand how Apple One really makes any substantial impact on an individual's choice about whether to purchase an iPhone or not when compared to these other four companies.

PROS AND CONS OF THE BUNDLING BUSINESS MODEL

Pros

It boosts your average value order

Increasing their revenue is almost always the main objective for every company. The satisfaction that comes from making more money with each passing day is unparalleled. Bundling can be a way for you to accomplish this objective. Since it will enable you to sell a larger amount of each product, it will result in an increase in your average order value.

This basically means that if you sell a range of items individually, offering them together in a bundle can help increase the number of units sold by your business. As a result of this, you will see a rise in sales.

Lower the marketing costs

A large financial investment is required for marketing activities. If you want to see a rise in sales, it is essential that each of your products is promoted in the market. You may be able to cut down on your marketing expenses by utilizing bundling strategies. This will allow you to focus on increasing awareness of the bundle as a whole rather than advertising each individual product separately. As a result, the amount of money you need to spend on marketing will decrease.

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It helps you avoid dead stock

There is no question that firms have difficulties when dealing with dead stock. Bundling might be able to help you avoid unfavorable situations like these. If you use this tactic, you'll be able to sell both high-volume and low-volume products at the same time without any problems. You will be able to keep up a consistent rate of sales and prevent the buildup of unsold inventory.

Cons

Risk Of Hurting Separate Items' Reputation

Different customers will have different opinions and perspectives on the many different products and services that your company has available on the market. This perspective influences the choices that they make about the things that they buy. While bundling may help you increase sales, the way in which your customers feel about the bundle and the products in it will decide whether it will be effective or not.

Your customers can have an inaccurate impression of the products you include in bundles and think they are of lower quality as a result. In addition, the customer may not be interested in the bundles and might want to purchase the products separately instead. Your sales goals for individual products and even bundles may suffer as a result of the negative reputation of a product in the bundle or the bundle itself.

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HOW TO BUILD A PRODUCT BUNDLING STRATEGY

Below are a few ways in which you can employ different tools, instruments, policies, and metrics in building a successful product bundling strategy.

Manage Bundling with the Help of an Appropriate Software
The owners of businesses have a greater responsibility than ever before to give serious consideration to the most efficient ways to get their jobs done in order to maintain workloads that are as moderate as possible. Automation of the relevant processes is required in order to make all product bundling operations more efficient. Although many eCommerce platforms have the ability to conduct arbitrary bundling activities, very few have the depth of functionality required to provide meaningful results.

Here comes ERP software, which offers organizations access to data and analytics in real-time, with the goal of assisting those firms in running their operations more efficiently. Enterprise resource planning (ERP) systems, when combined with other forms of technology, are an invaluable tool for helping firms achieve sustainable growth as well as long-term growth.

When deciding which products to bundle, monitor the appropriate metrics
If your product bundles' performance in the market is consistently assessed, you will have a deeper understanding of the effectiveness of your product bundles. This may be accomplished in a number of different ways, including the following:

- According to the number of sales, your inventory's

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most popular items and least popular items are listed highest and lowest, respectively, in the top and bottom performing metrics. Because of this, you are able to observe which bundles are the most popular, which in turn helps you detect patterns;

- AOV ("average order value") is a statistic that is used to calculate the average cart value of each customer. By using this data, you will be able to determine the areas in your customers' lives in which your bundles are adding value;

- The yearly growth of a product is what determines how well a commodity does as a single item in the market. Consider including it in a bundle if you find that a certain item isn't selling as well as you'd want it to, or if it's tough to advertise on its own;

- Conducting an evaluation of your company's sales as well as the feedback received from consumers is likely to be of use to you in locating trends as well as products of interest that customers tend to be drawn toward. Take into consideration the importance of this data during the holiday season.

Choose the Right Bundling Strategy

When it comes to selecting how you should approach bundling, the key aspects that will play a role are your industry in the market and your particular area of expertise within that industry.

Online retailers, most of the time, will bundle their products together in one of the following ways:

- **Price anchoring:** Make it possible for customers to be able to buy things in installments via monthly payment plans, which gives the impression that the total price is

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lower;

- **Marketing benefit over cost:** Customers are presented with an enticing argument about why they should purchase the product in this strategy, hence emphasizing benefit over cost;
- **Time-limited bundles:** Instilling in potential buyers a feeling of scarcity, exclusivity, or urgency in the purchasing process may increase their likelihood of making a purchase within a specific time frame;
- **Customer referral marketing:** You should consider marketing product bundles to prospective customers who are referred by current customers. This is because it helps new customers feel more secure in the purchase decision they have made;
- **Bundle by theme:** Create a theme by putting together an assortment of products, accessories, or other sorts of products or services that are similar to one another;
- **Showcase cost savings:** You can show the customer how much money they'll save overall by employing strike-throughs (e.g., $150, $120), discount-signifying phrases (e.g., 20% off), and remarks of improved value (e.g., “new and improved formula”);
- **Customizable bundles:** Make it possible for customers to customize the product bundles they purchase; this will improve the quality of their experience and will increase the bundles' perceived value.

Bundle Items with Purpose

In order for a product bundle to be successful, its constituents should be complementary to one another and provide an equivalent level of value. Use it, for instance, during the Christmas shopping season, when people are on the lookout for special deals and services, to get the most out of it and

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maximize its impact. You should give some thought to the groups into which you will place your products, and you should stay consistent with that theme throughout the process. Customers are far more likely to purchase items that are reasonable/work together when bundled together.

Product Bundling Pricing: Emphasize Savings

Customers like it when you bundle multiple products together in a way that will enable them to save the most money possible. The total price of a bundle should always be less than the total of the prices of its separate constituents, even if the difference is just a minor one. To put it another way, trying to create sales by selling a product for $140 that includes two other products that each cost $70 on their own will not work, but providing the same product for $130 would.

With the primary goal of lowering your overall price, you should look for different ways to incorporate discounts into your product bundles. For instance, when multiple products are bought together, the prices of the best-selling product and the slow-moving product should be cut. As a result, clients will be more inclined to purchase the bundle more than once.

Bundles should be placed at the beginning of your customer's digital journey

It is essential to ensure that individual product pages for bundles as well as the bundles themselves are readily accessible on your website. On the product pages of their websites, many eCommerce businesses such as Amazon usually provide a list of recommended bundles and discounts offered on specific bundles.

Since Amazon started integrating product recommendations on its website, the company's sales have climbed by 29%, resulting in a profit that is estimated to be well into billions of

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dollars. Depending on the specifics of the marketing initiative, product bundles may also be included in other promotional campaigns, such as targeted email campaigns or newsletters.

Bringing The Product Bundle Together

If you know how to use product bundles effectively, you may be able to boost your online store's revenue. With the right plan, it's possible to maximize product mobility, boost customer satisfaction levels, and increase total revenue. Before settling on a bundling solution, it is important to think about different ways to cut down the length of the process and relieve the pressure placed on different departments.

TIPS AND BEST PRACTICES FOR SMALL BUSINESSES ON PRODUCT BUNDLING

To create product bundles that are successful in the market, it is important to make use of the tips outlined below.

Create data-driven bundles

Utilize the data you have on your customers as well as the products they have purchased in the past to ensure the success of this approach. Using this information, you can build bundles that are tailored to the requirements of each individual customer. Check to see that this information is stored in your CRM. If it is, you will get insight into the products that your customers often buy, the things that they abandon in their shopping carts, as well as the desires and preferences of your clientele. This will make it possible for you to provide unique bundles to your consumers, which will allow you to cater to their specific needs.

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Provide different packages
If you provide your customers with a number of different options to choose from, they will be more satisfied with your service. When there are more options available to your clients, they have a greater chance of finding something that appeals to them. Having fewer bundle options could scare potential customers away by leading them to assume that the major purpose of your bundle campaign is to sell products that didn't move very quickly off the shelf.

Inform your clients about the savings
If a customer is able to spend less money, they will report a higher level of satisfaction with the product or service. Because this is the major driver behind product bundling, it is important for you to let your clients know exactly how much money they would be saving by buying a certain package. This information could be shown in a number of locations, such as the checkout page, the page with product suggestions, the product details page, or even in an email marketing campaign.

Create time-limited bundles
The feeling that time is running out makes people more likely to make impulsive purchases. "Flash Sales" is an excellent illustration of the kind of category that you should develop on your website. Of course, you should provide a large discount for orders from this category.

Promote your bundles across various channels
It is necessary for your audience to be aware of the product and service bundles that you provide for this strategy to be successful. Find the most effective method to engage with your customers and provide them with value-added bundles of your products.

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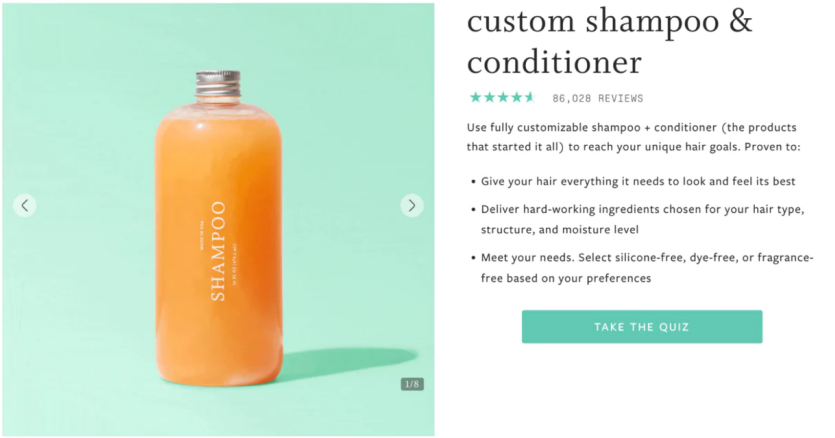
MOST POPULAR PRODUCT BUNDLE IDEAS

There are a lot of different ways to package products, and businesses experiment with different alternatives and combinations to figure out what works best for both them and their customers. After that, they choose the best one. Additionally, taking into consideration that the vast majority of people would not buy a bundle, including socks, pencils, and chocolates, bundles should be reasonably created from complementary products.

The following are some examples of strategies and product bundles to pick from:

Bundle complementary products
Products that are complementary to one another and enhance the functionality of one another often go together and work better when purchased together. This is true, for example, of a laptop and a mouse, or of a houseplant and the soil that it requires; these things are used together, and it is likely that they would be acquired together regardless of the circumstances (bundled or not).

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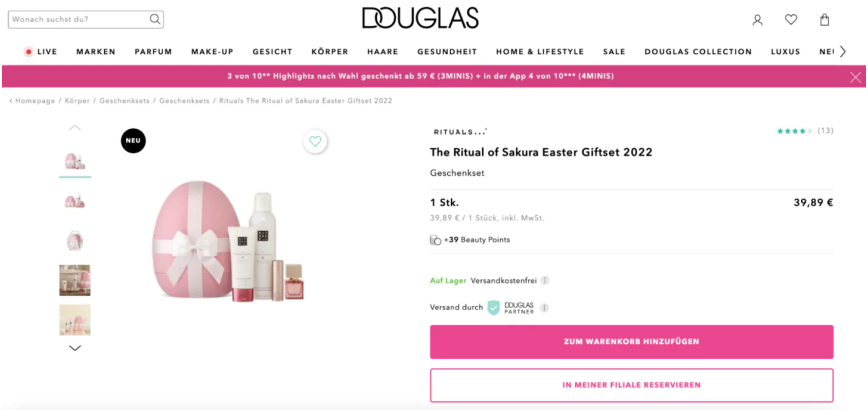


One of the most common examples of products being sold together in a bundle is shampoo and conditioner. As a result, Function of Beauty provides its clients with a service that enables them to create their own bespoke shampoo and conditioner sets. Simply answer a few questions, and the firm will create hair products that have the appropriate mixture of ingredients and other components to achieve the desired outcomes.

Use occasional bundling

Occasional bundling refers to gift packages like those used for holidays, birthdays, and other types of celebrations. You can personalize the gift packages that you design for important events like Christmas, the summer beach season, wedding anniversaries, and other events. When it comes to major holidays or seasonal changes, almost every business could stand to profit from a little bit of bundling every once in a while.

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For the Easter holiday, for instance, Rituals cosmetics offers customers the opportunity to purchase gift baskets stuffed with a variety of items, including shower gel, hand balm, perfume, and lip balm. When considering what to give someone as a gift, purchasing a ready-made bundle like this rather than coming up with your own ideas will be more convenient for customers.

Introduce a buy-more-pay-less model

Rather than customers purchasing each item separately, under this bundling strategy, they can save money by purchasing the bundle instead. As a result, customers get more of the products that they want, and your business makes a greater profit from each individual sale.

You may, for instance, offer things that are often bought together as a bundle, or you could sell larger quantities of a single product. Both of these strategies are viable options. When it comes to expensive products, however, selling more quantities of a single item is not likely to be profitable since it will reduce sales.

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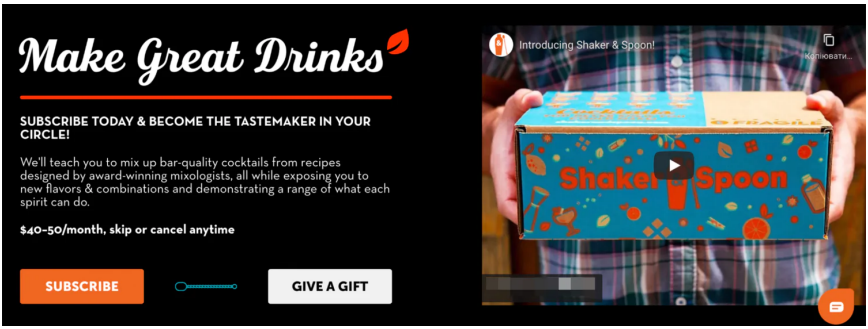


McDonald's meals are a clear illustration of this bundling strategy in action. The Big Mac can be purchased for about $10, but the total cost of everything that comes with it is almost $14. Because most people do not eat only burgers, a deal such as this one encourages customers to also purchase a drink and some french fries.

Try subscription bundling

A significant benefit of subscription-based bundling, which is also often referred to as the subscription box model, is that it enables you to sell a larger quantity of products while at the same time keeping your clients actively engaged. This sort of service works extremely well for the delivery of ingredients to prepare meals as well as recipes or diet-based products, books, seasonal colognes, do-it-yourself kits, and other types of products.

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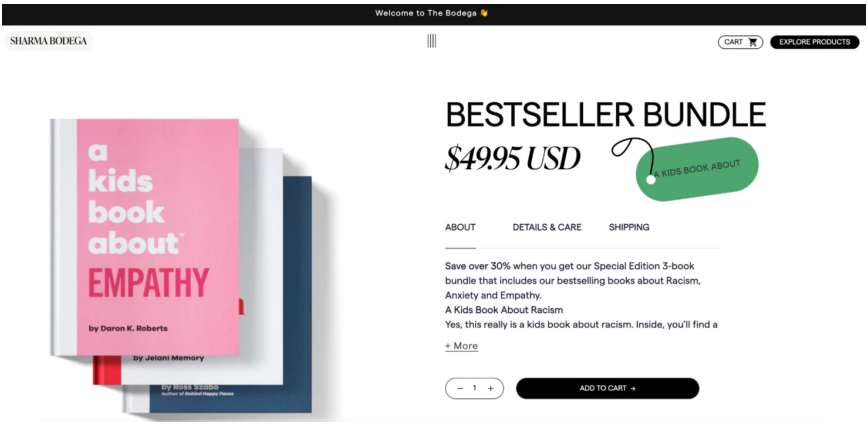
This strategy of product bundling is what drives Shaker & Spoon's business model. Each month, customers get three drink recipes along with the supplies necessary to make a total of 12 drinks. Since there are so many drinks to choose from, you can transform a house party into a bar-quality event.

Sell bestsellers together

When given the chance, most people are excited to experiment with novel experiences. As a result, customers will be interested in trying all of your best-selling products, particularly if the total cost of the bundle is less than the cost of purchasing the products individually. Because they are able to learn more about their cherished brand or get a number of their go-to goods in one convenient package, devoted consumers may benefit tremendously from this offer. However, it also gives beginners the opportunity to test out as many things as they can so that they may form more informed opinions.

For instance, a licensed retail therapist put together a collection of bestsellers books.

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WHAT IS A BUNDLE PRICING STRATEGY?

"Bundle pricing" is a pricing strategy companies use to offer many product bundles for sale at a single, unified price that is often lower than the individual prices of the individual products.

Why is product bundling pricing effective?

Consumer surplus is a term used in economics to describe the difference between the price customers are willing to pay for a product or service and the actual price they pay. In other words, it is the amount of money that consumers save by being able to purchase a good or service at a lower price than they expected. Bundle pricing has two objectives: one is to gather as much of your customers' consumption surplus as is practically possible, and the other is to provide your customers with discounts on the products or services (to give them the impression that they are receiving a good deal).

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If you price your bundled items at a level that is lower than or equal to what your potential customers are prepared to pay, they will usually consider the price to be a good deal. Customers that are price conscious and require assistance making a buying decision can benefit from bundle pricing. According to studies, when customer consumption levels are low, bundles may increase merchant profit and consumer surplus more than at other times.

How to calculate bundle pricing

By following these few steps, your company can determine the cost and size of the product bundles it offers:

Decide which products should be sold in a bundle

It is crucial that you base your product pairing decisions on data, since this will ensure optimal results.

When choosing which items would generate the maximum revenue when bundled together, removing the element of chance from the decision-making process may be accomplished by evaluating consumer data and monitoring product performance indicators. Research has found that when merchants combine and evaluate data from browsing and shopping carts simultaneously, they are able to make considerably better judgments regarding bundling items.

Analyze data to discover the best pricing and sizes for your product bundles

If you want to implement bundle pricing, the price of your bundles has to be lower than the price of the individual goods if each constituent of the bundle were to be bought in a single transaction as separate items. In addition, research has shown that a firm will sell a larger number of product bundles if the discount that is provided on the product bundles that the company sells is higher.

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When determining the number of products that need to be included in a bundle, the following points must be taken into consideration: Studies have shown that it is more lucrative to provide fewer products as part of a bundle at a higher price when the prices of the individual items in the bundle are higher. When items that are sold individually at lower prices are bundled, bundles that comprise more things and are sold for a lower price should be considered.

In order to model your strategy after that of your rivals, it is a good idea to keep track of the discounts they provide as well as the items that are included in the various bundles they offer. By doing this, you'll be able to make your own strategy as attractive as possible.

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WHAT IS UNBUNDLING?

Unbundling is the dismantling of various goods and services that make up a value chain. This is done with the intention of providing a higher level of value to the end users of the product. It can be accomplished by eliminating the parts of the value chain that are of less relevance to customers and maintaining those that, at any given moment in time, are most relevant to customers.

EXAMPLE OF UNBUNDLING

Apple's iTunes unbundled albums
Apple's introduction of iTunes resulted in the CDs and albums being sold separately. It was no longer necessary to purchase the full CD in order to listen to a single track whenever you want. As a result, Apple's iTunes service began selling individual tracks at a price of 99 cents each.

Amazon's e-commerce unbundled retail
The unbundling of retail began when Amazon made it possible for customers to make purchases on its website at reasonable prices and with a variety of items that were more convenient. In a nutshell, Amazon allowed you to zero in on precisely what you were looking for by letting you browse many digital stores at the same time.

Google unbundled newspapers
After Google had completed indexing the whole web, users could pick articles from a broad variety of websites without having to wade through sections of those websites they may

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have found less interesting (classified ads, job boards, etc.). Due to this, Google was able to act, in a sense, as a driving force that helped in the unbundling of the publishing industry.

WHEN DOES UNBUNDLING MAKE MORE SENSE?

If you are a new entrant to an industry in which unbundling is expected to ensure rapid growth, then you may be able to acquire a competitive edge by disassembling the components of a product or service that were previously offered for sale as part of a bundled package. This can be done by determining which aspects of the product or service are most important to customers and selling those separately. The current market leaders might be too sluggish, and unproductive, which would allow the unbundled to seize control of the industry and expand their market share.

HOW DOES UNBUNDLING WORK?

The board of directors or the management of the firm may make the choice to unbundle the company's products or services, depending on the specifics of the situation. It's up to them to determine whether to make the call if the business's stock is underperforming, if the firm is in need of more funding, or if the firm wishes to disburse cash to its shareholders.

The products or services of the firm may be broken out into their own independent units, which will make it simpler for analysts to evaluate the company's overall performance. This

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requires focusing on a core product that is easily similar to other products or services in the industry so that benchmarking can be carried out successfully. There is a chance that this will increase the amount of analyst coverage as well as the firm's stock price.

If management has reason to think that unbundling would result in increased performance for the company, then it is possible that they will choose to follow this approach. When a company's board of directors or management team pushes for the business to be unbundled, it is not uncommon for the stock price of the company to rise as a result. Unbundling may also occur in the case that one company purchases another company for the most profitable divisions of the latter's business, but later discovers that it has no need for the other portions of the company. They might decide to sell off those portions.

Although this is often the case, unbundling of a company's operations does not always signal the sale of the company's bundled product line, division, or subsidiary. It is possible that it has segmented its operations into many companies while maintaining control over each individual business. When a company is split up in this fashion, the newly established companies nearly always have significant potential for growth in the years to come.

HOW TO USE UNBUNDLING TO CARVE OUT YOUR NICHE

Whether you provide solutions that are platform-based or physical, you may find success by using the unbundling strategy.

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For products and services

- Conduct in-depth analysis and dissection of the constituent parts that constitute the offering made by the dominant player in the market that you are focusing on;
- Take into consideration the feedback and suggestions that have been made by their customer base. Pay special attention to the criticisms that are being leveled at certain aspects or functions of the product or service;
- Adjustments should be made to the product or service that is being offered by the competitor based on the feedback that was gathered and analyzed. Either get rid of features that customers don't think are useful, or come up with new ones that customers want but can't find in the existing offering.

Reading customers' experiences on Amazon is a good place to begin. Focus on the best items in your category and examine the comments from customers who have a neutral opinion of them. Consider several approaches you might use to adjust to the feedback.

For communities and platforms

- Conduct research on the most well-known social media and professional platforms with active audience bases;
- Determine whether specific groups' needs might be best met by a platform that is more specifically geared toward addressing their needs;
- Develop a platform that can cater to the needs of the community.

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Subreddits and Slack groups are an excellent resource for locating communities of interest to pursue. These channels often feature an engaged community of users who are enthusiastic about the topics they discuss. Spend significant time participating in these organizations so that you may have an understanding of the needs, issues, and frustrations that they face, all of which might be helped by your offerings. Listen in on the talks to see whether there is a recurring theme or not.

If a significant number of individuals have a propensity to talk about the same issues, you may try the following:

- Confirm that there is a need for a product that takes these issues into account;
- Find a group of early adopters that are interested in testing your product and providing feedback.

You may also conduct a study among Reddit communities that are expanding the fastest to establish the level of interest that exists in certain groups, and then specifically target those communities. The goal here is to hone in on an issue that has a specificity that is just right.

Do not create a course called "how to earn money from home". Consider creating one on the topic of "how to make money at home as a new mom". Instead of writing an e-book on healthy diets in general, write one about diets that are healthy for people with diabetes.

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WHAT IS UNBUNDLING BUSINESS MODEL?

The unbundled business model is one in which a company divides its operations into a number of distinct categories, each of which is governed by its own system of rules and procedures for doing business and is affected by a different group of variables.

It envisions a corporation that is made up of three distinct kinds of internal companies that operate entirely independently of one another. These three parts are as follows:

- Customer Relationship Businesses: Their job is to identify prospective customers, pique their interests, and engage with them;
- Product Innovation Businesses: It is their job to come up with unique and intriguing new products and services;
- Infrastructure businesses: They are responsible for the development and administration of platforms that carry out high-volume, repetitive operations.

Unbundling Business Model adoption should emphasize the autonomy of these three components above anything else. Even while customer relations, product development, and management duties are all important aspects of any business, the company's ultimate goal may be focused on the company's performance in only one of these three

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categories.

HOW TO LEVERAGE THE 9 ELEMENTS?

It is recommended that you use your assets in such a way as to "unbundle" in order to circumvent the competing priorities that restrict firms that are "bundled". Ways of doing this are as follows:

	Customer Relationship Management	Product Innovation	Infrastructure Management
Customer Groups	Aim for a particular consumer group rather than a general audience.	Involve external partners in customer group study and development.	Outsource your work to external partners.
Value Offer	The value of a product or service stems from providing great customer service.	Innovations in high-quality products and services are the key to creating value.	Value is directly proportional to the quality of the infrastructure that it is delivered.
Touchpoints	To make it easier for customers to communicate with you, set up various touchpoints.	External partners may handle touchpoint management.	External partners may handle touchpoint management.
Interactions	To guarantee client loyalty, focus on obtaining new consumers, and establishing long-term relationships.	Contract customer interactions with a third-party provider.	Contract customer interactions with a third-party provider.
Profit Sources	To maximize profits in the long run, take into account and concentrate on the lifetime value of each client.	Concentrate on increasing your profit margin as much as possible; one way to achieve this is to charge greater prices for innovative goods and services.	Focus mainly on low-profit margins; instead of charging high prices, charge cheap prices and generate your profit from the huge number of sales.
Resources	In the long run, the client base thatis created through the development of various touchpoints and interactions will become a resource.	Staff members who are skilled and creative, in addition to facilities for research and development.	The infrastructure will develop into a more valuable resource as it undergoes further expansion.
Critical Actions	Engage new clients and work to earn their trust in order to successfully encourage customer loyalty.	Coordinate the operations of the research and development facilities, and recruit qualified staff.	Invest in the development and upkeep of the infrastructure.
Network	The management of infrastructure, in addition to the development of new products and services, should be outsourced to external partners.	The company should try to outsource as much of its work as it can so that it may concentrate on developing new products and services.	As much work as you can, outsource, so that the business may concentrate only on managing its infrastructure. In order to allow the effective construction and management of infrastructure, partnerships are crucial.
Expenses	To attract new customers, you must invest heavily in marketing and the creation of new touchpoints and interactions.	Make significant investments in personnel who are skilled in order to effectively manage the research and development operations.	Because of economies of scale, the high fixed costs will decrease in response to the rise in the number of operations.

HISTORY OF UNBUNDLING IN BUSINESS STRATEGY

First Wave of Unbundling

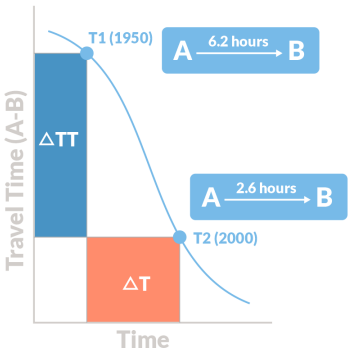
It wasn't that long ago (in the 1800s), that the United States saw a significant increase in the construction of a variety of transportation infrastructure, including roads, canals, turnpikes, and railroads. As a direct result of this, the amount of time and money required to go from point Y to point Z was

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cut down.

As a result of the revolution in transportation, the first significant unbundling was able to occur; it was no longer necessary for items to be produced in close proximity to the places where they are consumed. Because of the development of interstate transportation, hitherto inaccessible markets for agricultural and manufactured goods are now within the reach of members of the general public. For instance, this resulted in a decreased need for multiple manufacturing facilities, which made it possible to achieve larger economies of scale and improve product availability.

Improved transportation networks allowed for changes in the relationship between time and place. A more efficient transportation system is needed to go a greater distance in a given period of time. Consequently, because of advancements, the amount of space that can be traversed in that same given period of time grows significantly. This results in a space/time convergence.



$$STC = \frac{\Delta T}{\Delta TT}$$

$$STC = \frac{(2.6 - 6.2)}{(2000 - 1950)}$$

$$STC = -0.072 \text{ hours per year}$$

Second Wave of Unbundling

The decrease in the cost of transportation led to a number of

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beneficial trends, including bundling, vertical integration, and economies of scale. These companies seek to control as much of their supply chain as possible so that they may increase their efficiency and take advantage of economies of scale.

For instance, Ford Motors controlled the majority of its supply chain throughout the first fifty years of the twentieth century. This included iron mines, steel mills, manufacturing units, forests, and sawmills, as well as assembly plants (to churn out finished cars). There is no doubt that this was a profitable strategy in a market that was able to be forecasted at the time that it was put into effect. However, as markets expanded and consumer tastes changed, all-inclusive models began to fail. This was because the model placed a higher priority on efficiency than it did on responding to the specific demands of customers.

The second major unbundling, which included the removal of the necessity for supply chain activities, was made possible as a result of developments in information technology as well as a decrease in the cost of communication and coordination. Vertical integration was phased out in favor of virtual integration in order for businesses to keep up with rapidly developing technologies and the shifting expectations of their customers. This gave companies the opportunity to concentrate on their primary specialisms while outsourcing activities that fell outside of their expertise.

Third Wave of Unbundling

Another kind of bundling that occurred as the supply chain advanced was the gatekeeping of customers by the use of middlemen. As a direct result of this, there was a lack of adaptability, a monopoly on the supply, and a poor experience for the end user.

The beginning of the digital age brought forth the capability

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of neutralizing gatekeepers with the introduction of digital business models that did away with middlemen and muddled supply chains. The primary reason why diverse product and service values were first bundled together was rendered obsolete as a result of developments in technology and manufacturing methods. By making use of these cutting-edge technologies, up-and-coming competitors became able to provide individual components that were superior in terms of their value and speed, as well as the degree to which they could be personalized.

SUCCESSFUL EXAMPLES OF UNBUNDLING

Yeezy Dating

Harry Dry is the one who started the Yeezy Dating service. He scoured the internet for groups of people who were fans of Kanye West, and discovered a lot of them.

Some examples of such communities are r/Kanye (which has 250,000 members) and r/HipHopHeads. The presence of such organizations with so many members demonstrates that there is a market for those who like listening to Kanye West's music.

Those individuals are undeniably devoted fans who will take in whatever the artist has to offer them. Yeezy Dating's network effects are also influenced by the intrinsic motive of this group, which is to recruit new members. On the other hand, the website wasn't only for people who liked music, or even just those who liked hip-hop in general; it was much more than that. It was developed with fans of Kanye West in mind from the beginning. Because it is so unique and has captured the interest of a specialized subset of people,

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spreading the word about it is simple.

Internet users have access to a broad variety of dating services and programs, including Tinder, Match.com, and others. There are a plethora of dating websites that cater to certain religions and sexual orientations (Jdate, Crosspaths, Muslima, etc.). However, no one else caters to such a devoted following of Kanye West fans as this one does.

Dry identified a need and segmented the dating market in order to cater to an extremely niche audience, and as a result, the company garnered significant media exposure.

Facebook apps
In order for Facebook to unbundle its app, the company developed a large number of smaller applications. This allowed users to be able to hone in on a certain part of the Facebook ecosystem they wanted to concentrate on.

The following apps and services were included in their sub-bundles:

- Users and content creators on Facebook who want to continue communicating with one another and collaborate may do so via the use of Facebook Groups, Slingshot, Rooms, or Riff;
- Facebook built the Facebook Pages Manager, the Meta Ads Manager, and a range of API-specific applications specifically with the purpose of assisting business owners and marketers in promoting their brands on the social networking platform.

Facebook broke up a massive offer into its component parts so that it would be more relevant to each individual consumer.

Smaller applications cater to a wider variety of users, each of

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whom have their own individual reasons for utilizing the platform. By unbundling, customers were given the ability to choose precisely what it is that they want to be alerted about.

Reddit subgroups
Groups that are closely entwined within larger ecosystems can also be unbundled.

Reddit is a great source of information for details on exceptionally active communities and the factors that contribute to their continued success. Communities on Reddit have been the driving force behind the launch of a number of wildly successful companies, including the following:

- Gaming-focused Subreddits served as the inspiration for the creation of the Discord messaging platform;
- The men's clothing Subreddit known as r/malefashionadvice is where the Grailed company got its start;
- Imgur was founded so that users of Reddit would have an easier time posting and sharing images with one another.

These businesses focus on serving a particular demographic by developing products and services tailored to the needs of that demographic. This allows them to swiftly validate their product while also ensuring that there is an actual need for it.

The goal here is not to rival larger platforms such as Reddit; rather, it is to provide a better quality of service to the small communities that already exist on such websites.

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HOW TO SUCCEED IN BUSINESS BY BUNDLING — AND UNBUNDLING

As we've seen above, bundling is a very effective way to attract new customers. Digital businesses should strive to bundle as many products as possible — the more content and services you give for a single price, the more value your customers will get for their money. At the same time, don't be afraid to push your products apart occasionally — it's necessary to keep them from seeming too vanilla, after all. Of course, it's easier said than done. But, at the end of the day, business owners are responsible for providing value for their customers — and that means providing both service and product flexibility.

In addition, while there are certainly a lot of benefits to unbundling, companies shouldn't make the mistake of grouping all bundles into the same negative niche (in terms of price, quality, or quantity). If a company is able to combine products in a way that justifies (and leverages) a higher price point and still provides value, then they should absolutely sell the said bundle.

In the end, customers will only pay what they think is fair — so long as you've successfully articulated your case for why this particular bundle provides more value than the whole of its individual parts. Likewise, for unbundling, making a good argument for your unbundling campaign is a good step

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towards ensuring success.

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CONCLUSION

Due to the positive results it has generated since its debut, product bundling has been shown to be an effective pricing and sales strategy. It has sustained that performance level despite the emergence of new business models, and it has shown its viability on several occasions. When it comes to bundling, there is nothing special about SaaS companies; the strategy is just as effective here as it is everywhere. If you already have a number of products that can be used in conjunction with one another or if you are attempting to give a new product a boost when it first comes out on the market, product bundling is a strategy that should be explored.

Because bundling provides sellers with a number of benefits that extend well beyond any short-term financial gain, this serves as a powerful reason for them to invest the time and effort required to establish a successful strategy and undertake comprehensive testing.

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